

# Yellevate

# Dispute Analysis

Identifying Circumstances Behind Revenue Loss

Roy Padayao



# Methodology

Steps that were taken in analyzing the data :

1. Identify the problems.
2. Set data analysis goals.
3. Data gathering & collection
3. Data cleaning and manipulation.
4. Analysis and visualization.
6. Insights and recommendation

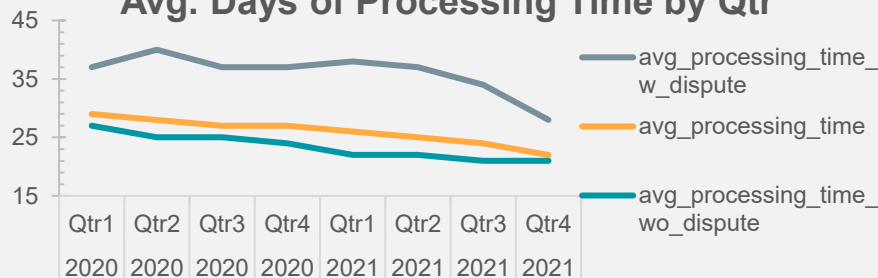
# Processing Time

- The average processing time in which invoices are settled is 26 days.
- The average processing time for the company to settle invoices with disputes is 36 days whether the customer paid the invoice, if the dispute was resolved in favor of the customer, or if the decision that the customer does not have to pay was finalized.

## Average Days of Processing Time



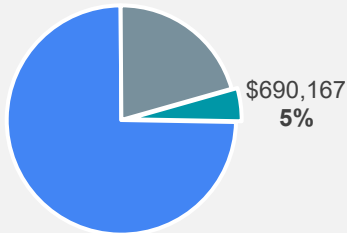
## Avg. Days of Processing Time by Qtr



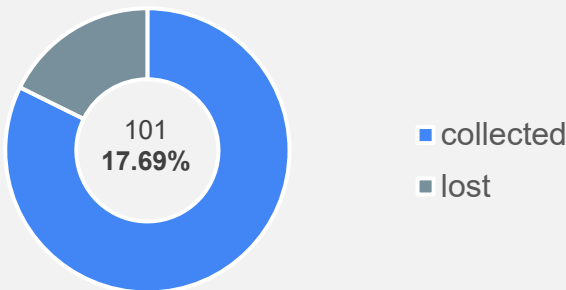
# Percentage of Disputes Received & Lost

- The 17.69% of disputes lost suggests that there may be room for enhancement in the company's dispute resolution process. On the other hand, the 18.41% of revenue lost due to disputes signifies a substantial financial impact.

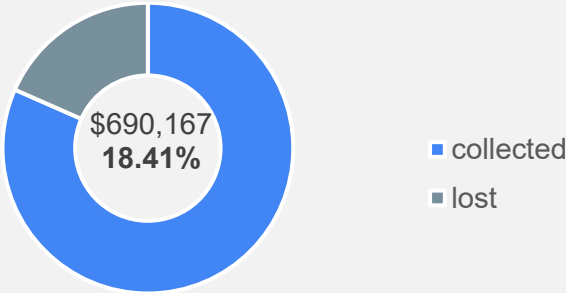
Percentage of Revenue Lost



Received & Lost by Invoices Count



Received & Lost by Invoices Amount



# Percentage of Disputes Received & Lost (SQL)

Query Query History

```
1 WITH res AS (  
2     SELECT  
3         CASE  
4             WHEN dispute_lost = 0 THEN 'won'  
5             WHEN dispute_lost = 1 THEN 'lost'  
6             ELSE null  
7         END AS dispute_received,  
8         COUNT(dispute_lost) AS count_value,  
9         SUM(invoice_amount) AS amount_value  
10    FROM yell_inv  
11   WHERE disputed = 1  
12   GROUP BY dispute_received  
13 )  
14 SELECT  
15     dispute_received,  
16     count_value,  
17     amount_value,  
18     ROUND(count_value / SUM(count_value) over(), 4) AS count_percentage,  
19     ROUND(amount_value / SUM(amount_value) over(), 4) AS amount_percentage  
20 FROM res;
```

Data Output Messages Notifications

SQL

|   | dispute_received<br>text | count_value<br>bigint | amount_value<br>numeric | count_percentage<br>numeric | amount_percentage<br>numeric |
|---|--------------------------|-----------------------|-------------------------|-----------------------------|------------------------------|
| 1 | won                      | 470                   | 3058577                 | 0.8231                      | 0.8159                       |
| 2 | lost                     | 101                   | 690167                  | 0.1769                      | 0.1841                       |

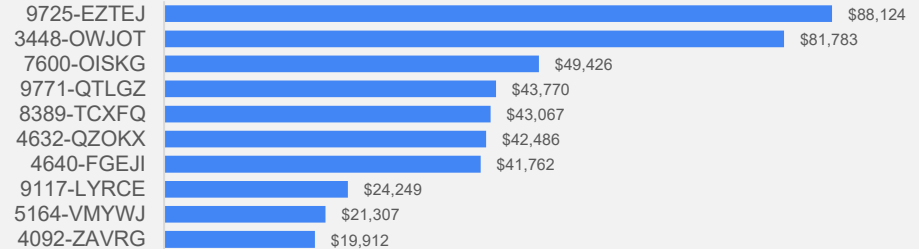
# Regional Analysis of Revenue Loss

- *France* has been most affected in terms of losses with a total amount of **\$526,264** and **76%** of the total loss, while *Spain* has been least affected among the five countries with just **2%** of the total loss.
- The highest amount for one client in *France* is a total of **\$88,124**.

## Highest Losses by Country



## Top 10 Highest Losses by Clients in France



# Summary of Insights

- The downtrend in processing time shows improvement in invoice handling.
- Disputes lost involve higher value transactions, contributing significantly to revenue loss. This could indicate potential issues with high-value transactions leading to disputes.
- Opting out to pay despite quality and completion of service indicates that there was a considerable probability of a loophole in the policy and payment terms that is likely being exploited by clients.

# Conclusion: Addressing Revenue Loss due to Disputes

To address the business question regarding the circumstances contributing to the 5% annual revenue loss caused by 20% of disputes raised against Yellevate, we identified key issues. It appears that a significant loophole in the policy and terms of service contract may have been exploited by clients, leading to the disputes and subsequent revenue loss.



# Recommendations:

- **Contract Review:** Engage legal management experts for comprehensive and precise terms.
- **Focus on High-Value Disputes:** Prioritize resolving disputes involving larger sums.
- **Although the processing time to collect invoice is improving, it needs automation for faster processing.**